

SOP/PRO/2024/03: Procurement Approval Workflow for Purchases Above RM50,000

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Owner: Procurement Department, Jabatan Pembangunan Digital Sarawak

1. Purpose

1.1 This Standard Operating Procedure (SOP) defines the Procurement Approval Workflow (PAW), the multi-step approval process that every purchase above RM50,000 must follow before a purchase order can be issued.

2. Scope

2.1 This SOP applies to all purchases of goods, services and minor works with a value above RM50,000 per transaction, funded from the Department operating or development budget.

2.2 Purchases of RM50,000 or below follow the direct purchase rules in Procurement Circular No. 4/2023 and are not covered here.

3. Definitions

3.1 Requesting Officer: the officer who raises the need and submits the purchase request.

3.2 e-Procurement: the Department electronic system used to submit, route and record all approvals.

4. Procedure

The workflow has six steps and must be followed in this order. A step cannot be skipped.

Step 1. Purchase Request. The Requesting Officer submits Form PRO-01 (Purchase Request) in the e-Procurement system with technical specifications, an estimated cost and a budget code.

Step 2. Division Endorsement. The Head of Division reviews the need and endorses the request within three (3) working days.

Step 3. Budget Verification. The Budget Officer of the Finance Department confirms that funds are available and issues a Budget Reservation Number within two (2) working days.

Step 4. Quotation or Tender Evaluation. The Procurement Officer invites at least three (3) quotations, or prepares tender documents for purchases above RM200,000. The Quotation Committee, chaired by an officer of Grade 41 or above, evaluates the responses and submits Form PRO-03 (Quotation Evaluation Form).

Step 5. Procurement Director Approval. The Director of Procurement reviews the evaluation report and approves awards up to RM200,000 within five (5) working days.

Step 6. Final Approval. The Chief Finance Officer approves awards above RM200,000 and up to RM500,000. The Director of the Department gives the final approval for awards above RM500,000.

After final approval, the Procurement Officer issues the Purchase Order (Form PRO-07) within two (2) working days.

5. Timelines

5.1 The target total processing time from Step 1 to the issue of the Purchase Order is 15 working days for purchases up to RM200,000, and 30 working days for purchases above RM200,000.

5.2 Urgent purchases may be fast tracked only with written approval of the Director of Procurement and must be justified on Form PRO-08 (Urgent Purchase Justification).

6. Responsibility Table

Role	Responsibility
Requesting Officer	Raise Form PRO-01, supply specifications
Head of Division	Endorse the need (Step 2)
Budget Officer	Verify funds (Step 3)
Procurement Officer	Run quotations or tender, issue PO
Quotation Committee	Evaluate and score responses (Step 4)
Director of Procurement	Approve up to RM200,000 (Step 5)
Chief Finance Officer	Approve RM200,001 to RM500,000 (Step 6)
Director of Department	Approve above RM500,000 (Step 6)

7. Records

7.1 All forms and approvals are stored in the e-Procurement system and retained for seven (7) years after the contract ends.

7.2 The Internal Audit Unit may sample ten (10) percent of approved purchases each quarter.

8. Exceptions

8.1 Any purchase that is split to avoid a higher approval level will be rejected and reported to the Internal Audit Unit.

9. Revision History

- Version 1.0: 12 January 2022
- Version 2.0: 1 March 2024, aligned with Procurement Circular No. 4/2023